

BOARD MEETING OF THE CBA
MINUTES
(27.10.2020)

On the Refinancing Rate

The CBA Board Meeting of October 27, 2020 attended by Governor Martin Galstyan, Deputy Governors Nerses Yeritsyan and Vakhtang Abrahamyan, and Board Members Hasmik Ghahramanyan, Arthur Stepanyan, Armenak Darbinyan, Oleg Aghasyan and Hovhannes Khachatryan

The Board meeting opened with a report of the situation as of October 27. It addressed the developments on inflation, external environment, and real, fiscal, financial and monetary sectors of the economy amid the outbreak of the second wave of the coronavirus, state of war and major uncertainties related to the ensuing economic prospects.

There was 0.2% deflation in September 2020, against 0.2% inflation in the same month of the previous year, *with the 12-month inflation totaling 1.4%*. The month's negative inflation indicator was mainly caused by 0.8% drop in prices of "Food and non-alcoholic beverages" item, as the prices of both non-food products and services grew by 0.2%. In September, *the 12-month core inflation* continued to rise, reaching 1.3% by the end of the month.

In the external sector, global economic activity posted certain recovery during the third quarter, however, with the outbreak of the second wave of the coronavirus and acceleration of the spread of the infection in September-October, uncertainties of the economic outlook have augmented to a higher degree. With this in mind, it was estimated that in line with the Central Bank's projections, the economic situation in the world, and in particular, the main partner countries of Armenia, will deteriorate to some extent by the end of the year, leading to risks of economic growth and aggregate demand recovery deferral. In such environment, certain deflationary pressures of the partner countries would be transferred to Armenian economy. The inflationary environment in the main commodity markets stayed low in general, although in the international food and copper markets, inflation was slightly higher than expected as a result of rising prices of grain, sun oil and sugar, and a faster recovery of China's economy, respectively. Given the aforementioned situation, the central banks of the Armenia's main partner countries would continue to pursue expansionary policies.

During the discussion of the current state of the Armenian economy, it was noted that in the course of the third quarter the economic activity was still sluggish. Subsequently, compared to the same period of the previous year, the economic activity index in January-September equaled to

minus 6.6%, mostly conditioned by a substantial decline in the construction and services sectors. Similar to the rest of the world, in Armenia the spread of the epidemic in soared September-October, the economic consequences of which, in the absence of general restrictions, were assessed within the forecasts of the third quarter monetary policy program. However, it was noted that the large-scale military attack unleashed by Azerbaijan on September 27 along the entire line of contact of the Artsakh Republic, with the subsequent martial law declared in Armenia, caused additional uncertainties related to its economic impacts. Therefore, a deeper decline is expected in all sectors of the economy by the end of the year, affecting both the supply and demand. The weak domestic demand trends continued in the third quarter too, and despite the expected faster growth of remittances by the end of the year, and the implementation of the Government's sizable expansionary fiscal policy, domestic demand was estimated in a lower-than-expected negative range, bearing huge uncertainties associated with the impact of the existing economic prospects. In general, the negative impact of the state of war on 2020 economic growth was estimated within 1%. Furthermore, it was noted that, caused by the above factors, the prospects of economic developments were extremely uncertain and depend on the duration, severity and inclusiveness of the state of war.

The Board reviewed the situation in the financial market of Armenia in October, noting that in the conditions of military conflict, the demand for liquidity has grown to some extent, and was fully covered by the Central Bank. As a result, short-term market interest rates stayed around the CBA refinancing rate. The Board noted that the risks arising from the military conflict lead to a surge in the country's risk premium, reflected in a certain increase in the yield on the medium and long-term segment of the government bond market. In the banking system, generally stable trends of interest rates on loans and deposits were observed. It was noted that despite of a certain slowdown caused by the current situation, the growth of lending to the economy by the banking system continued in October, mainly due to the impact of the ongoing economic assistance projects.

Following a discussion of the situation report and external and domestic macroeconomic developments, the Board proceeded to addressing the monetary policy directions and making decision on the policy rate. **The board was presented to review the option of leaving the refinancing rate unchanged.** The latter was based on the impacts of actual and projected macroeconomic situation, some increase in both country's risk premium and uncertainties amid the state of war, as well as on the implementation of the strongly expansionary fiscal policy by the end of the year. Moreover, it was estimated that by leaving the interest rate unchanged, the Central Bank in the current situation would preserve the expansionary stance of monetary policy, which, together with a significant fiscal stimulus, would create a favorable environment for further economic activity and domestic demand recovery. In view of that, the CBA Board unanimously decided **to leave the refinancing rate unchanged**, as a result of which inflation would gradually rise and stabilize around the target at the end of the forecast horizon.

Given the major uncertainty related to the prospect of economic development in the medium term, the Central Bank Board unanimously agreed on the implementation of a more flexible monetary policy in the context of consistent and unconditional provision of the goal of price stability. Furthermore, it was stated that the Central Bank had already created such opportunity and enabling environment due to the implementation of a consistent, effective policy aimed at ensuring prices and financial stability in recent years.

The CBA Board also referred to risks of inflation deviation from the projected line, which have significantly increased the uncertainties, but currently are assessed as balanced. As of now, these risks are being monitored, and in case of their emergence, the Central Bank will respond accordingly to ensure the inflation target in the medium term.

The Board approved interest rates of monetary instruments of the Central Bank and the proposed press release, which are attached hereto.

Setting Interest Rate

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ON SETTING INTEREST RATES OF THE REPUBLIC OF ARMENIA CENTRAL BANK MONETARY POLICY INSTRUMENTS

By virtue of Article 2.3 (20) “c” and “f” of the Republic of Armenia law “On the Central Bank of the Republic of Armenia”, and provisions of the Republic of Armenia law “On Normative Legal Acts”, the Board of the Republic of Armenia Central Bank, herewith

Enacts:

1. Set the refinancing rate of the Central Bank of the Republic of Armenia at 4.25%.
2. Set the lombard repo facility rate offered by the Central Bank of the Republic of Armenia at 5.75%.
3. Set the deposit facility rate offered by the Central Bank of the Republic of Armenia at 2.75%.
4. This decision shall enter into force on the day following the day of its publication on the website of the Central Bank of the Republic of Armenia.

Martin Galstyan,
Governor of the Central Bank
October 27, 2020

Yerevan

PRESS RELEASE

27.10.2020

At the October 27 meeting, the CBA Board decided to keep the refinancing rate unchanged at 4.25%.

Inflation in September 2020 stood at -0.2%, compared to 0.2% in the same month of the previous year. As a result, the 12-month inflation amounted to 1.4%. At the same time, the 12-month core inflation somewhat increased to 1.3%.

Despite some positive developments in the global economy in the third quarter, it is estimated that in September-October, in light of the new pace of coronavirus spread and resulting high uncertainties, the recovery of global demand and economic activity will be somewhat delayed. At the same time, a weak inflationary environment persists in the commodity markets. Under such conditions, central banks of main partner countries will continue pursuing expansionary monetary policy. Hereby, the CBA Board estimates that no significant inflationary impact is expected from the external sector on the Armenian economy.

Low economic activity prevailed in Armenia in the third quarter and a 7.5% decrease in economic activity compared to the same month of the previous year was registered in September, which was mainly a result of a significant reduction in the services sector. Despite the expansionary fiscal policy, domestic demand was slightly weaker than expected during the quarter, mainly due to a deeper reduction in private consumption. The large-scale military attack by Azerbaijan along the entire line of contact of Artsakh on 27th September, as well as the incomparably rapid spread of the coronavirus in the first half of October, created a negative environment for both supply and demand developments. It is estimated that along with a somewhat reduction in output, uncertainty regarding economic growth outlook will increase, thus delaying the recovery of economic activity and domestic demand. In this situation, the Government outlines the implementation of a sizable fiscal expansion, mainly due to the increase in military spending and expenses aimed at overcoming the pandemic.

Taking into account the above-mentioned actual and expected macroeconomic developments, as well as the fact that the country's risk premium has increased to some extent during the military actions and certain risks of inflation destabilization have arisen, the CB Board considers it convenient to leave the refinancing rate unchanged. Under these circumstances, inflation will gradually increase and stabilize near the 4% target at the end of the forecast horizon.

The Board estimates that the risks of inflation deviating from the projection are balanced. In case risks materialize, the Central Bank is ready to respond accordingly to ensure price stability in the medium term.

Detailed information underlying the decision on the level of interest rate will be available in the Press release (Minutes of the CBA Board Meeting), to be published on 10th of November 2020.